GAP FINDINGS **November 6, 2020**

Between Comments of Japanese WT and Provisions of Draft Decrees

No.	Issues	Japanese WT Comments in the past	Relevant Contents in the Draft Decrees	Gap between the comments and the provisions of Draft Decrees
1.	Addition of termination triggering events	The following events should be permissible as early termination triggering events:		
1.1		(1) Force majeure event affecting contracting parties	Guideline Decree Annex 4, Clause 21.1 provides that a force majeure event is an event that **prevents the performance of the project contract** by one party, and the parties can agree on the force majeure events. Accordingly, the parties may agree that a force majeure event will include a force majeure event that affects a contracting party's performance of the project contract. In addition, in the example under Clause 21.1, the abnormal change to the source of the supply can be a force majeure event. We understand that the implication of this example is that the parties can agree on a force majeure event affecting the off-taker.	We would like to further confirm that the Guideline Decree allows the parties to agree that a force majeure event will include a force majeure event that affects a contracting party or off-taker in performing the project contract.
1.2		(2) Default of Vietnamese state agencies other than	Guideline Decree, Annex 4, Clause 23.5(d) divides the defaults	Japanese WT comments have been partially reflected in that defaults of Vietnamese state

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		the PPP contract signing agency	of Vietnamese state agencies other than the contracting authority into two groups: - **Group 1** comprises defaults of the Vietnamese state agencies due to the illegal revocation of any permit/approval granted to the investor for the implementation of the project. These defaults will be deemed a default of the PPP contract signing agency (PPP Law article 52-2 d). - **Group 2** comprises defaults of the Vietnamese state agencies as the result of an administrative decision of such agencies. The consequences of such defaults will be dealt with as a force majeure event (PPP Law article 52-2 a) or a change in law (PPP Law article 52-2 dd).	agencies other than PPP contract signing agencies are understood to be covered as "Other cases as agreed by the parties" in 23.5 d) of Guideline Decree Annex 4. However, as typically covered under existing BOT power generation contracts as termination triggers, we want to make sure that i) off-taker SOE default under the PPA, ii) fuel-supplier SOE default under the fuel-supply agreement, and iii) provincial government default under the land-lease agreement are to be covered under this article. In addition, we want to clarify that the likely treatment of these defaults as "force majeure" or "change policies or laws" will not have negative legal implications on investors when exercising them for the purpose of termination (in particular, in relation to the scope of termination payment as discussed in item No.2-1 of this Gap Analysis).
1.3		(3) Dissolution of PPP contract signing agencies, nationalization or taking control of PPP project company, and disruption	- Nationalization or expropriation of all or a portion of assets or stock of the Investor or the project company is provided as a default of the PPP contract signing agency	Other than nationalization or expropriation expressly incorporated in Guideline Decree Annex 4 Clause 23.5 (a), we would like to clarify that the following cases can be agreed by the parties as termination events,

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		of project or deprivation of PPP project enterprise interests by any government body	(Guideline Decree, Annex 4, Clause 23.5(a). As for the remaining events, in our analysis, - Dissolution of the PPP contract signing agency and disruption of the project or deprivation of the PPP project enterprise interest may be interpreted to be covered by Item 1.2 (if the dissolution, disruption or deprivation is considered an administrative decision/act of the government body) above and Item 1.5 below (if the disruption or deprivation can be agreed by the parties).	in line with past BOT power project contracts and with Guideline Decree, Annex 4, Clause 23.5 d): i) dissolution of the PPP contract signing agency; ii) disruption of the project, and iii) deprivation of the PPP project enterprise interests by any government body.
1.4		(4) Change in law and change in permits, authorization and approval	- Change in law will give rise to i) adjustment of the project contract, ii) the application of risk sharing termination (Guideline Decree, Annex 4, Clause 22), or iii) early termination (PPP Law article 52-2 dd). - Change in permits, authorization and approval can be covered by item 1.2 above.	Japanese WT comments to incorporate changes in or the repeal of decisions, permits, authorization, and approvals into termination triggers seems to be reflected in "unlawful withdrawal or alteration of any necessary licenses or approvals," as provided in Guideline Decree, Annex 4, Clause 23.5 d). We need more clarity and flexibility in the scope of "fundamental change of circumstances stipulated in the civil law" by

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				including the repeal of any existing law, and enactment or making of any new law, as well as any change in permits, authorization and approval.
1.5		(5) Triggering event agreed by the parties	The parties are allowing to agree on early termination triggering events (Guideline Decree, Annex 4, Clause 23.5(d))	There should be no gap.
2-1.	Scope of Termination Payment	To allow termination payment as a result of: i) prolonged force majeure (No. 1-1); ii) default of Vietnamese state agencies other than PPP contract signing agencies (No. 1-2); iii) change in law, permits, authorization and approvals (No. 1-4); and iv) other triggers which contracting parties agree	Not Available	Scope of compensation for investors by state capital through termination payment (PPP Law article 52-6) should also cover cases i) to iv), in line with past BOT power project precedents and international financial practices.
2-2.	Termination payment calculation	Formula to calculate termination payment should be agreed by the parties and the principle of the formula should cover both debt and equity component	Guideline Decree, Annex 4, Clause 25.3 guides that the parties can agree on the termination payment. Clause 25.3 also provides for the principle to determine the payment termination and such principles take into	The Guideline Decree has adopted the comments of Japanese WT to allow the parties to agree on termination payment. However, there is a description of a certain calculation formula referred to as a “guide,” even though Japanese WT suggested it was not advisable to incorporate specific

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			account debt component and equity component.	calculation methodology into the decree or circular, as such calculation differs project by project. We would like to make sure that the "guide" is for reference only and that each formula can be decided individually by taking account of each project-specific context.
3.	Governing law	To allow the application of foreign law	Guideline Decree, Annex 4, Clause 27.1 states that Article 55 of the PPP Law stipulates that the governing law is the Vietnamese law, and that for issues that Vietnamese law does not prohibit or regulate, the parties have the right to agree in the content contract.	Guideline Decree does not expressly provide for to what extent foreign law is applicable. In the recent BOT power contracts, contracting parties have been provided flexibility in allowing application of foreign law in the case of disputes/doubts regarding the application or interpretation of the contracts.
4.	Step-in-right	Exercise of the step-in-right of the lender without terminating the project contract	Guideline Decree, Annex 4, Clauses 24.4 and 24.5 of Guideline Decree provides for the right of the lender in early termination. There are two scenarios: (i) the contracting authority prepays the loans and takes over the project; or (ii) the lender will take over the project.	Step-in rights for lenders are understood as the security enforcement rights of lenders to step into the project to cure defaults and some issues, or sometimes replace investors (through coordination with the contract signing agency), without terminating the PPP contract.

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			In case the lender takes over the project, the lender will keep developing the project. The right of the lender to take over the project or appoint an alternative qualified investor will be in accordance with the law of Vietnam.	As the project contracts and rights thereunder act as the fundamental security for project finance lenders to PPP projects, PPP Law and relevant decrees are expected not to limit the exercise of such step-in rights in accordance with the PPP contract.
5.	Transitional provision	Transitional provisions for PPP projects for which an investor has been selected	Not available	Guideline Decree does not provide for the transitional provision for the case. Please continue to consider dealing with the PPP projects for which an investor has been selected.
6.	Law of the Sea	The right to access sea areas and the right against the sea areas	Not available	Guideline Decree does not provide for the right to access sea areas and the right against the sea areas of an investor of a PPP project. Please continue to consider providing for the rights in Guideline Decree or a relevant decree.